

Sasini

SASINI LIMITED

SASINI HOUSE, LOITA STREET,P.O BOX 30151-00100, NAIROBI
(Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE SIX MONTHS ENDED 31 MARCH 2010 (Unaudited)

CONSOLIDATED INCOME STATEMENT				
	Group 31.03.2010 Ksh '000	31.03.2009 Ksh '000	Company 31.03.2010 Ksh '000	31.03.2009 Ksh '000
REVENUE	1,318,672	1,019,123	361,756	335,495
Gains arising from changes in fair value of biological assets less estimated point of sale costs	119,396	122,175	104,093	(15,236)
PROFIT FROM OPERATIONS	494,870	259,580	206,352	63,653
Finance costs				
Interest income	14,022	14,164	9,400	13,518
Interest expense	(35,832)	(37,865)	(28,332)	(36,830)
PROFIT BEFORE TAX, MINORITY INTEREST	473,060	235,879	187,420	40,341
TAXATION CHARGE	(141,917)	(72,125)	(56,226)	(12,646)
MINORITY INTEREST	(27,028)	(8,082)	-	-
PROFIT ATTRIBUTABLE TO MEMBERS	304,115	155,672	131,194	27,695
ANALYSED AS FOLLOWS:				
Profit arising from operating activities	246,540	78,890	58,329	38,904
Gains arising from changes in fair value of biological assets after tax	57,575	76,782	72,865	(11,209)
	304,115	155,672	131,194	27,695

EARNINGS PER SHARE				
Earnings/(Loss) per share (Kshs) on normal operations	1.08	0.35	0.26	0.17
Earnings per share (Kshs) on biological assets	0.25	0.34	0.32	(0.05)
Net Earnings per share (Kshs)	1.33	0.68	0.58	0.12
Issued and fully paid Shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY								
	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Revenue Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Proposed Dividends Ksh '000	Minority Interest Ksh '000	Total Ksh '000
At 1 October 2008	228,055	137,933	1,683,029	479,670	2,066,747	-	121,872	4,717,306
Excess depreciation on revaluation	-	-	(5,920)	5,920	-	-	-	-
Minority Interest in profit after tax	-	-	-	-	-	-	8,082	8,082
Profit for the year	-	-	-	78,890	76,782	-	-	155,672
Contribution by Minority Shareholders	-	-	-	-	-	-	38,000	38,000
At 31 March 2009	228,055	137,933	1,677,109	564,480	2,143,529	-	167,954	4,919,060
At 1 October 2009	228,055	137,933	2,081,483	581,650	2,455,567	45,611	131,523	5,661,822
Excess depreciation on revaluation	-	-	(27,998)	27,998	-	-	-	-
Minority Interest in profit after tax	-	-	-	-	-	-	27,028	27,028
Profit for the year	-	-	-	246,540	57,575	-	-	304,115
Dividends paid- year 2009	-	-	-	-	-	(45,611)	-	(45,611)
At 31 March 2010	228,055	137,933	2,053,485	856,188	2,513,142	-	158,551	5,947,354

COMPANY STATEMENT OF CHANGES IN EQUITY								
	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Revenue Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Proposed Dividends Ksh '000	Minority Interest Ksh '000	Total Ksh '000
At 1 October 2008	228,055	40,594	962,166	(80,357)	654,813	-	-	1,805,271
Excess depreciation on revaluation	-	-	(493)	493	-	-	-	-
Profit for the year	-	-	-	38,904	(11,209)	-	-	27,695
At 31 March 2009	228,055	40,594	961,674	(40,961)	643,604	-	-	1,832,966
At 1 October 2009	228,055	40,594	1,200,594	35,002	602,992	45,611	-	2,152,848
Excess depreciation on revaluation	-	-	(14,959)	14,959	-	-	-	-
Profit for the year	-	-	-	58,329	72,865	-	-	131,194
Dividends paid - Year 2009	-	-	-	-	-	(45,611)	-	(45,611)
At 31 March 2010	228,055	40,594	1,185,635	108,290	675,857	-	-	2,238,431

COMMENTS ON THE RESULTS

The results for the half-year ended 31st March 2010 show a profit after tax from operating activities of Shs. 246.54m compared to Shs. 78.89m for the same period in the previous year. The improved profitability is mainly due to increase in prices realised for both tea and coffee. International tea and coffee prices have been much stronger than the same period last year which together with a continuing favourable exchange rate have more than compensated for the adverse impact of the drought on coffee production.

The Group's diversification into value added activities continues to bear fruit with the expansion of the coffee mill to double the previous capacity during the period. One new outlet for "Savanna" coffee lounges was opened during the period and there are plans to open two more before the year end. However, whilst high tea prices have benefited our agricultural operations they have impacted negatively on the performance of value added retail products.

Net gains from changes in the valuation of biological assets is Shs. 57.57m for the six month period. Whilst these gains positively impact the profit attributable to the members they are not realised gains and are therefore not available for distribution and so have been transferred to the biological assets fair value reserves.

INTERIM DIVIDEND

In view of the results, the board has declared the payment of a 20% interim dividend (Kshs 0.20 per share), payable less withholding tax, where applicable, on or about 15th June 2010 to the members on the register at the close of business on 31st May, 2010.

The Company's register of members will be closed for one day on 2nd June, 2010.

By order of the Board

M. R. Ekaya (Mrs.)
Company Secretary
5th May 2010

CONSOLIDATED BALANCE SHEET				
	Group 31.03.2010 Ksh '000	30.09.2009 Ksh '000	Company 31.03.2010 Ksh '000	30.09.2009 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	2,511,434	2,435,962	1,616,050	1,532,231
Capital work-in-progress	-	78,573	-	68,329
Intangible assets	476	718	-	-
Biological assets	4,537,869	4,416,277	1,122,747	1,018,258
Prepaid leases - leasehold land	21,347	21,462	8,276	8,390
Investments in subsidiary companies	-	-	72,697	72,697
Other investments	4,229	4,229	-	-
	7,075,355	6,957,221	2,819,770	2,699,905
CURRENT ASSETS				
Inventories	351,030	219,259	147,155	58,914
Trade and other receivables	385,963	271,411	181,620	108,260
Amounts due from related companies	1,695	1,695	1,695	1,695
Amount due from subsidiary companies	-	-	-	39,411
Tax recoverables	-	-	-	19,746
Cash and bank balances	778,677	548,646	645,948	295,591
	1,517,365	1,041,011	976,418	523,617
TOTAL ASSETS	8,592,720	7,998,232	3,796,188	3,223,522
EQUITY AND LIABILITIES				
EQUITY ATTRIBUTABLE TO OWNERS				
Share capital	228,055	228,055	228,055	228,055
Non-distributable reserves	4,704,560	4,674,983	1,902,086	1,844,180
Distributable reserves	856,188	627,261	108,290	80,613
	5,788,803	5,530,299	2,238,431	2,152,848
Minority interest	158,550	131,523	-	-
TOTAL EQUITY	5,947,354	5,661,822	2,238,431	2,152,848

NON CURRENT LIABILITIES				
Deferred tax	1,260,154	1,223,823	325,688	294,460
Bank loan	-	1,315	-	1,315
Post employment benefits	172,649	163,912	12,532	10,995
Notes in Issue	480,000	540,000	480,000	540,000
	1,912,803	1,929,050	818,220	846,770
CURRENT LIABILITIES				
Short term portion of post employment benefits	5,398	10,795	442	884
Tax payable	85,004	46,955	4,042	-
Trade and other payables	521,832	282,417	338,248	159,337
Amount due to subsidiary companies	-	-	276,476	-
Bank overdraft	-	3,958	-	448
Short term portion of bank loan	329	3,235	329	3,235
Short term portion of Notes Issues	120,000	60,000	120,000	60,000
	732,563	407,360	739,537	223,904
TOTAL EQUITY AND LIABILITIES	8,592,720	7,998,232	3,796,188	3,223,522

CONSOLIDATED CASHFLOW STATEMENT				
Cash flows generated from operations	426,869	412,190	438,055	(59,768)
Income taxes paid	(73,601)	(59,103)	(1,210)	(4,610)
Net cash generated from /(used in) operating activities	353,268	353,087	436,845	(64,378)

CASH FLOWS FROM INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(69,304)	(38,620)	(31,459)	(7,318)
Purchase of Intangible Assets	-	(341)	-	-
Biological assets	(2,197)	(8,756)	(397)	(3,294)
Work in progress	-	(64,560)	-	(61,611)
Interest received	13,049	-	8,427	26,129
Proceeds on sale of property, plant and equipment	-	1,123	-	1,123
Purchase of investments	-	-	-	(11,900)
Net cash used in investing activities	(58,452)	(111,154)	(23,429)	(56,871)

CASH FLOW FINANCING ACTIVITIES				
Contributions from Minority shareholders	-	8,000	-	-
Dividend received from subsidiary company	-	-	-	230,000
Loans repayments	(4,221)	(3,234)	(4,222)	(3,235)
Interest paid	(34,629)	(43,152)	(34,629)	(67,374)
Dividend paid on ordinary shares	(45,611)	(45,611)	(45,611)	(45,611)
Net cash (used in) /generated from financing activities	(84,461)	(83,997)	(84,462)	113,780

Net increase / (decrease) in cash and cash equivalents	210,355	157,936	328,954	(7,469)
Cash and cash equivalents at the beginning of the year	544,688	365,991	295,143	278,964
Effects of exchange rate changes	23,634	20,761	21,851	23,648
Cash and cash equivalents at the end of the period	778,677	544,688	645,948	295,143



Savanna The Coffee Lounge now open at:-
• Sasini House, Loita Street
• Nairobi Museum
• Upper Hill next to General Accident House
• United Nation Recreation Centre, Gigiri
• Cameo Cinema Building, Kenyatta Avenue